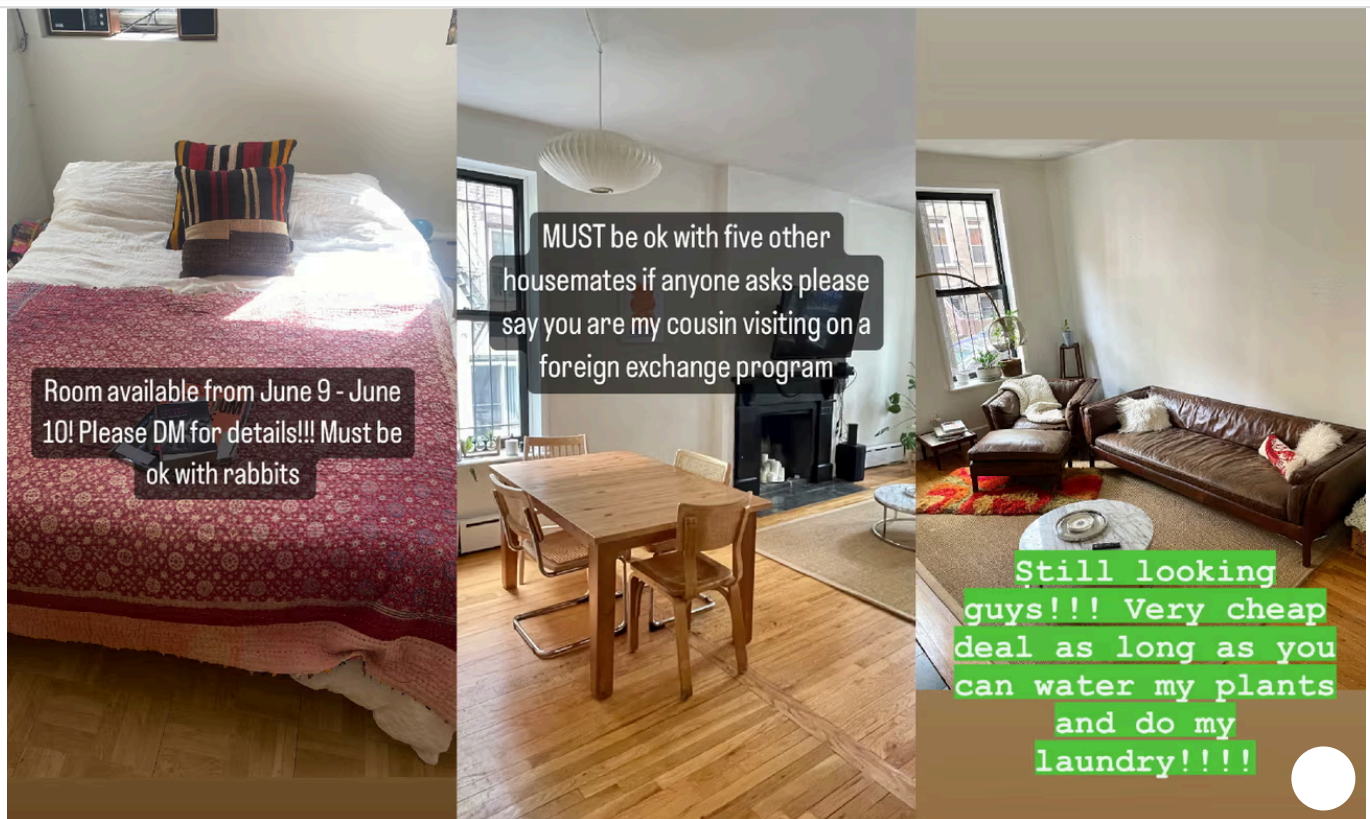




New York

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'Must love dogs and rude roommates': the scramble to get around New York's Airbnb crackdown

Strict rules have led to a wild west of rentals, with visitors choosing between huge hotel bills or word-of-mouth deals

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Until recently, visitors to New York basically had two options: hotel rooms or short-term rental platforms like Airbnb. But in September 2023, **the city started enforcing a 2022 law** that banned people from renting their homes for fewer than 30 days (unless the host stayed in the home with guests).

Now the only legit option for people visiting the city is hotel rooms - and they're unaffordable for many. Most of the Times Square hotels don't have rooms for less

than \$300 a night. A search for Thursday 2 May found the Muse at \$356, Hampton Inn at \$323 and the Hard Rock at \$459 (although, because of dynamic pricing, these are subject to regular change). They're getting more expensive still. Hotel rates have increased between the first quarter of this year and the first quarter of 2023 at twice the rate of inflation, said Jan Freitag, an analyst at the real-estate data firm CoStar Group.

Many visitors and New Yorkers have turned to the black rental market, where Facebook groups, Craigslist posts, Instagram listings and word of mouth have become the go-to for finding short-term rentals in the five boroughs.

If you have friends in New York, you've probably seen the Instagram stories. "Hi guys! Subletting my room in a 5 bed apartment for four days over Easter! Must be good with dogs and rude roommates! DM if interested!"

Other travelers have headed to New Jersey, causing the kaleidoscope of cities across the Hudson River to become the fastest-growing market for [Airbnb](#) demand in the nation, according to the analytics site AirDNA. Others have ponied up for hotels, which are only projected to get more expensive in the coming years. For many tourists, there's no good answer yet to the so-called Airbnb ban.

Yoya Busquets, 56, considered an Airbnb in New Jersey, but really wants to be in the city when she visits from Barcelona in early September with her husband and two teenage daughters. She poked around on Facebook a bit and chatted on Messenger with some people advertising short-term rentals there. The last time she was in New York, in 2012, she stayed in an Airbnb in Brooklyn, and she wants a similar experience. She just might get lucky.

"I'm communicating with a girl who has a place available for one week and it's posted on Airbnb as in New Jersey, but when you contact them they say it's in Brooklyn," she said.

The apartment also happens to be near the area she stayed last time, and it's within her budget of \$160 a night. It's the best option she's found, considering the cost of hotels and the space it offers for her daughters to unwind after busy days tromping around. But the setup probably falls foul of the new laws, which is why the apartment is listed in Jersey.



📷 Williamsburg Bridge in Brooklyn. For a hotel, 'I'd have to pay like \$400 a night and I don't have money like that,' said one New Yorker seeking to host her parents. Photograph: Ryan Deberardinis/Alamy

According to AirDNA, which tracks data from short-term rental sites like Airbnb and Vrbo, listings for stays of fewer than 30 days have fallen 83% since August 2023, when the regulations started being enforced. Once there were 22,200 short-term listings available in New York City; there are now just 3,700, according to AirDNA.

While juggling her thesis, finishing classes and searching for a job that will allow her to continue living in the US, Tehsin Pala, 24, has been looking for a place for her family to stay in May when she graduates from New York University's graduate program for journalism.

"This is their first time coming to New York City and I want to give them a good experience," Pala, from India, said of her parents and grandmother. "I thought I wanted to do an Airbnb so I can also cook for them," so she was dismayed to learn short-term rentals really weren't an option any more.

Pala wants a place where her family has room to congregate. As a show of gratitude and respect, she wants to cover the cost of her family's accommodations and has budgeted about \$200 (£160) a night for their week-long stay.

"I'm kind of stuck about what to do," Pala said. "Probably a hotel, but I'll have to pay like \$400 a night and I don't have money like that."

Now, saddled with the dual stresses of finishing school and facing down hotel rates she isn't able to float, she's at a crossroads: does she opt for a hotel and have her parents pay or rent something in New York short term that's not technically legal?

Without the accountability and protections that platforms such as Airbnb offered, avoiding scams has become a normal part of seeking a short-term rental. Because of that, Pala skipped scanning Craigslist entirely. Now she's looking into booking an Airbnb in New Jersey, but she fears the slog on the local Path train could be inconvenient for her grandmother.

While the regulations were passed with the intention of curbing rents for New Yorkers by bringing apartment inventory back on to the market, they've also **cut off an often crucial source of income** for New York renters and homeowners who lived in their apartments but listed their places when they were out of town. Some New Yorkers are still finding ways to bring the money in.

Kathleen, whose last name is being withheld for privacy reasons, only recently started renting her East Village apartment on the black rental market. The 29-year-old travels a lot for her work in personal finance and to visit family in North Carolina. She's out of town about four months a year, she said, and of course still has to pay her \$2,600-a-month rent when she's not there. To make up some of that lost money, she's started connecting with people via Facebook groups for unregulated stays.



📷 Opponents of Airbnb rally at New York's city hall in 2015. Photograph: Shannon Stapleton/Reuters

"I really vetted out a lot of the people," she said, citing concerns about how her space would be treated given that she wouldn't have the protections that short-term-rental platforms offer to hosts. She has two forthcoming guests - one weekend visitor and one staying in her apartment for three weeks over the summer - who are paying her \$50 a night.

“I’m a side-hustle girl always,” she said. “If you can make extra money, why would you not make extra money? I live in a great location. I love my place and I’m very clean and I just figured if someone was new to this city, it would be kind of a nice, cute spot to be.”

It’s the kind of spot that visitors like Juan José Tejada might champ at the bit for. Tejada, a wellness influencer from Bogotá, Colombia, is visiting New York in July for nine days with his best friend. He started his search for a place by scanning hotels but quickly realized they were too expensive.

“I am 25 years old. I’m traveling with my best friend. And, you know, we don’t have that much budget,” he said. On the recommendation of a cousin who lives in the city, Tejada used Facebook to look for a short-term rental. What he found was quadruple his budget of \$100 to \$200 a night. But that wasn’t the only issue.

“When I was looking for a short-term lease, the payment situation was a little bit hard,” Tejada said, “because the people who are renting say ‘you have to pay me through bank transfer or through Zelle’ or another service that we don’t have in Colombia.”

▲▲ *I’m coming from a city where the craziness of Airbnb is actually taking the locals away*
Yoya Busquets of Barcelona

Tejada and his friend ended up booking at Hi New York City, a hostel on the Upper West Side, which cost them about \$55 each a night for a spot in a bunk room with a shared bathroom. Tejada said he had considered an Airbnb with an on-site host but didn’t find any suitable options. It’s not the apartment he dreamed of breezing in and out of as if he were a local, but it’ll do.

People are making their own solutions for short-term stays. On Instagram, there are accounts like Book That Sublet NYC, where over 4,000 followers watch along for sublets often posted on a daily and weekly basis as well as the endless “[book my apartment!](#)” or apartment-swapping callouts that are shared on Instagram Stories. And then there are the longtime apartment-swapping sites like HomeExchange or HomeLink that offer another way for visitors to get their foot in the door of a city apartment.

Advocates for the new regulations thought that limiting rentals in the short term would bring long-term rentals back on to the market - and perhaps help push rents down in the notoriously pricey city. About seven months in, those effects on a wide scale remain to be seen, said Jamie Lane, AirDNA’s chief economist.

Jonathan Miller, CEO of the appraisal firm Miller Samuel, offered an explanation: he said a modest number of apartments had returned to the rental market after the law was modified, but because mortgage rates remain high and have inched back up since the start of the year, would-be buyers are priced out of purchasing for the time being, pushing rents up.

Pala, the NYU student, doesn't think the regulations are the most effective way of tackling New York's housing crisis. "I don't understand how this regulation makes sense, not in terms of lessening the load of how many Airbnbs there are, but in terms of how equitable this decision is for the population of New York City, considering it's an immigrant city," she said.

But Busquets, who's visiting in September, has witnessed first-hand the effects tourism, and short-term rentals, can have on a world-famous destination.

"I'm coming from a city where the craziness of Airbnb is actually taking the locals and people who've lived there for years away," she said. "The owners wanted to keep the people who were there just to rent it short-term because it's more profitable."

Busquets said Airbnb made Barcelona unliveable and she herself eventually left for its suburbs. She added: "It's changed. It's not the same city as 10 or 15 years ago."
